Samsung C&T (028260 KS)

When construction changes, value changes

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BUY (I)

Target price	W510,000 (I)
Previous target price	-
Current price (Sep 18)	W351,000
Upside potential	45%

Market cap (Wbn)	56,921
Shares outstanding	163,635,171
Avg daily T/O (2M, Wbn)	190
Avg daily volume (2M, shrs)	501,089
52-week high/low (won)	535,000 / 184,600
Foreign ownership (%)	30.67%
Dividend yield (%)	1.17%
Major shareholders	Jae-yong Lee & others

Stock performance

(%)	1M	3M	12M
Absolute	(4.9)	(27.7)	78.4
Relative	(5.2)	(5.0)	(10.4)
Abs (US$)	(2.9)	(20.2)	79.0

Initiate coverage at BUY and target price of W510,000

We initiate coverage on Samsung C&T at BUY and a target price of W510,000. Fair enterprise value derived using the sum-of-the-parts (SOTP) method stands at W83.2tn, implying an upside potential of 45% against the current share price. For the construction business, we applied a peer-average EV/EBIT of 7.5x to 12-month-fowrad OP of W918.8bn. We did not reflect separate valuation premium for high-tech business growth.

Consolidated OP is projected to increase from W3.7tn in 2026 (+11.9% YoY) to W4.5tn in 2027 (+22.0%). Construction OP is expected to increase from W536bn in 2025 to W716.8bn in 2026 (+33.7%) and W984bn in 2027 (+37.3%), and OPM will likely improve from 3.8% to 4.5% and 5.3%.

High-tech bookings of W6.4tn to materialize as earnings in 2027

The catalyst underpinning construction profit growth is orders already secured. In 1H26, high-tech orders accounted for W6.4tn, or 61% of new construction orders of W10.4tn, securing 94% of the full-year guidance of W6.8tn within 1H26 alone.

High-tech orders convert into revenue within 1.5-2 years from order placement. As 1H26 order placements are recognized in earnest, construction sales will likely increase from W15.9tn in 2026 to W18.6tn in 2027 (+16.7% YoY). In 2Q26, construction OPM rose to 5.1%.

Nuclear power and energy to follow high-tech

Nuclear power plant and renewable energy are the foundation for future order continuity. The most imminent catalyst is the selection of the construction contractor for Romania's large-scale nuclear power plant in 4Q26, followed by the main EPC contract for Romania's Doicesti SMR in 2028, alongside SMR projects in Poland, Sweden, and Estonia.

In renewable energy, divestment gains from solar project development increased from $21mn in 2021 to $79mn in 2025. As of 2Q26, the combined order backlog across four core solar/BESS/HVDC projects in Guam and Australia stands at W1.28tn.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	10,759	6.0	-10.3	11,380	-5.5
OP	962	-3.2	-6.8	1,021	-5.7
Pre-tax net profit	1,155	-4.2	7.2	1,234	-6.4
Net profit, CI	635	12.0	6.6	625	1.5
OPM (%)	8.9	-0.9 %pt	+0.3 %pt	9.0	-0.1 %pt
NPM (%)	5.9	+0.3 %pt	+0.9 %pt	5.5	+0.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	42,103	40,742	44,100	48,913
OP	2,983	3,293	3,686	4,496
Net profit, CI	2,230	2,439	2,589	2,956
P/E (x)	11.3	11.6	22.2	19.3
P/B (x)	0.7	0.5	0.5	0.5
EV/EBITDA (x)	7.9	7.9	12.7	10.4
ROE (%)	6.8	6.0	3.3	2.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

I. Target price and valuation

Subsidiary value provides downside support, construction profit growth drives upside

We initiate coverage on Samsung C&T at BUY and a target price of W510,000, derived by the SOTP method, combining operating values by business and the equity value of subsidiaries. Fair enterprise value stands at W83.2tn, representing 45% upside potential compared to the current share price of W351,000.

Operating value is assessed at W11.6tn, with construction accounting for 59.3% at W6.9tn. We applied the average 12-month-forward EV/EBIT of 7.5x across six construction peers to the business's 12-month-forward OP of W918.6bn. Peer multiples diverge widely with Hyundai E&C's standing at 11.3x, Samsung E&A 5.7x, Daewoo E&C 11.0x, DL E&C 3.0x, GS E&C 10.0x, and IPARK Hyundai Development 3.9x. Rather than applying higher multiples from specific peers, we used a simple average of six peers and did not assign additional premium for high-tech business growth.

We applied identical criteria on other businesses as well. Trading was valued at W2.7tn, applying an average EV/EBIT of 7.5x of POSCO International, LX International and Hyundai Corporation. Fashion was valued at W0.9tn based on a 5.9x average multiple across F&F, Misto Holdings, and Shinsegae International. Leisure and F&B were valued at W0.5tn and W0.6tn, respectively, using peer averages of 13.1x and 3.8x.

Subsidiary value is estimated at W70.8tn. The equity value of listed subsidiaries including Samsung Electronics (W76.4tn), Samsung Biologics (W27.9tn), Samsung Epis Holdings (W3.5tn), Samsung Life Insurance (W11.0tn), and Samsung SDS (W2.9tn) is appraised at W67.3tn after applying a target discount rate of 45% (reflecting that the discount rate has already narrowed to 46.2% in 2Q26 from the recent 4-quarter average of 53.)%, alongside higher visibility on dividend income from affiliates on Samsung Electronics' shareholder return expansion). Added to this is W3.4tn in unlisted subsidiary book value as of end-2Q26. Net debt on a separate basis as of end-2Q26 stands at -W878.3bn, a net cash position.

Construction business value may expand on profit growth going forward. Construction OP is set to increase from W536bn in 2025 to W716.8bn in 2026 (+33.7%) and W984bn in 2027 (+37.3%). In particular, our current valuation applies a peer average of 7.5x, without factoring in a premium for high profit growth centered on high-tech business. If earnings estimates are revised upward as 1H26 new high-tech orders of W6.4tn converts into revenue in 2027, construction business value should expand accordingly.

Samsung C&T: target price calculation **(Wbn, mn shares)**

	12-mo-fwd OP	Applied multiple	Fair value	Note
Operating value (A)			**11,569**	
Construction	919	7.5	6,862	
Trading	364	7.5	2,725	
Fashion	151	5.9	894	Applied peer group 12-mo-fwd EV/EBIT for each business
Leisure	38	13.1	493	
F&B	158	3.8	594	
	Enterprise	**Stake (%)**	**Fair value**	**Note**
Subsidiary value (B = a+b)			**70,758**	
a. Listed			67,326	Applied 45% discount
Samsung Electronics	1,525,879	5.0%	76,447	
Samsung Biologics	64,715	43.1%	27,866	
Samsung Epis Holdings	8,137	43.1%	3,504	
Samsung Life Insurance	56,700	19.3%	10,966	Market cap as of Sep 18, 2026
Samsung SDS	16,984	17.1%	2,901	
Samsung E&A	10,153	7.0%	708	
Samsung Heavy	18,304	0.1%	20	
b. Unlisted			3,433	End-2Q26 book value
Net debt (C)			**-878**	**Separate basis as of end-**
Fair EV (D = A+B-C)			**83,205**	
Shares outstanding (E)			162	Full retirement of treasury
Target price (F = D/E)			**W510,000**	Rounded to the nearest
Current price			W351,000	Closing price as of Sep 18, 2026
Upside			**45%**	

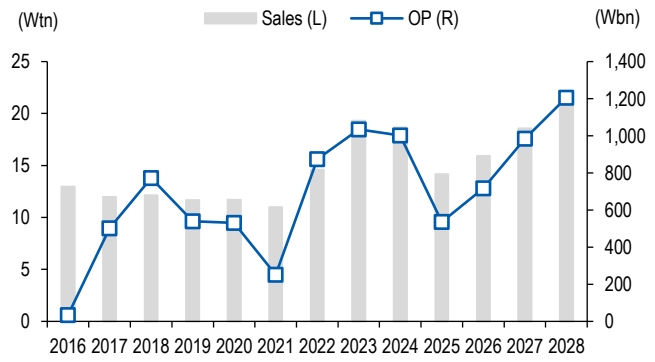
Source: Yuanta Securities

Samsung C&T: peer valuation by business (12-month-forward basis)

Business	Company	Mkt cap (Wbn)	P/E (x)	P/B (x)	EV/EBITDA (x)	EV/EBIT (x)
Samsung C&T		56,921	18.8	0.8	9.7	12.3
Construction	Hyundai E&C	13,897	22.6	1.5	9.2	11.3
	Samsung E&A	10,153	11.7	1.7	5.2	5.7
	Daewoo E&C	7,770	14.4	1.8	9.7	11.0
	DL E&C	3,362	7.8	0.6	2.9	3.0
	GS E&C	3,154	10.1	0.6	7.2	10.0
	IPARK HDC	1,555	3.3	0.4	3.6	3.9
Average			**11.6**	**1.1**	**6.3**	**7.5**
Trading	POSCO Intl	10,080	10.4	1.3	7.4	10.7
	LX International	1,610	5.7	0.5	3.4	6.8
	Hyundai Corp	351	2.8	0.4	4.6	5.1
Average			**6.3**	**0.7**	**5.1**	**7.5**
Fashion	F&F	2,655	5.6	1.0	3.2	3.6
	Misuto Holdings	2,015	6.6	0.9	3.7	4.9
	Shinsegae Intl	368	5.9	0.4	5.3	9.2
Average			**6.0**	**0.8**	**4.0**	**5.9**
Leisure	Western T&D	710	13.4	0.6	15.1	17.6
	Lotte Tour Develop	934	8.5	1.8	6.2	8.5
Average			**11.0**	**1.2**	**10.7**	**13.1**
F&B	Hyundai Green	589	5.1	0.6	2.4	3.0
	CJ Freshway	261	4.2	0.5	2.5	4.6
Average			**4.7**	**0.6**	**2.4**	**3.8**

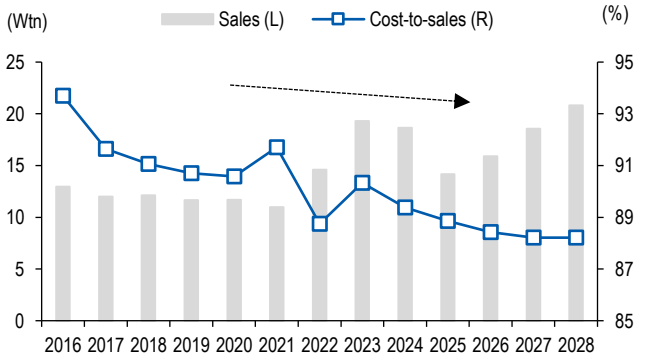
Note: as of Sep 18, 202, Source: FnGuide Quantiwise, Yuanta Securities

Samsung C&T: construction sales and OP



Note: 2026-2028 figures are our estimates, Source: company data, Yuanta Securities

Samsung C&T: construction sales and cost-to-sales



Note: 2026-2028 figures are our estimates, Source: company data, Yuanta Securities

II. Earnings estimates

Recovery in 2026 and accelerating growth in 2027

The company's earnings will likely begin to recover from 2026, followed by accelerated expansion in 2027. We estimate consolidated sales in 2026 at W44.1tn (+8.2% YoY) and OP W3.7tn (+11.9% YoY). In 2027, sales will likely increase to W48.9tn (+10.9% YoY) and OP to W4.5tn (+22.0% YoY). OPM will also likely grow from 8.1% in 2025 to 8.4% in 2026 and 9.2% in 2027.

Construction at the center of earnings growth

The primary highlight in 2027 earnings is the construction business. Construction sales will likely increase from W14.1tn in 2025 to W15.9tn in 2026 (+12.4% YoY) and W18.6tn in 2027 (+16.7% YoY). Over the same period, OP will likely rise from W536bn to W716.8bn and W984bn.

Profits are growing faster than revenue. The construction division's OP margin is likely to improve from 3.8% in 2025 to 4.5% in 2026 and 5.3% in 2027. Construction revenue already increased 17.5% YoY to W4.0tn in 2Q26, while its OP margin rose to 5.1%. We believe high-tech projects are driving both top-line growth and margin improvement.

Construction OP is forecast to grow 37.3% YoY in 2027, significantly outpacing the 22.0% increase in consolidated OP. Therefore, the key to the company's 2027 earnings lies not in broad-based improvement across its business divisions, but in the construction division's earnings reaching a structurally higher level.

3Q26E growth momentum remains intact

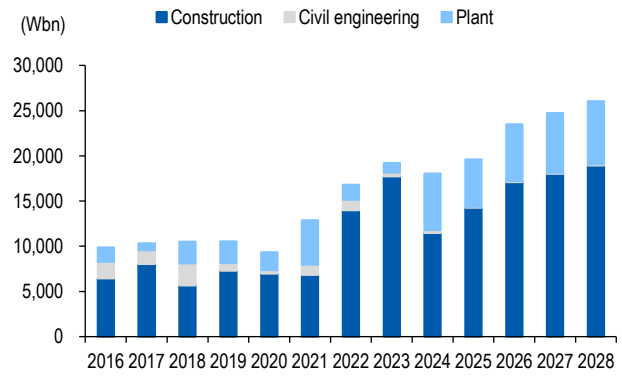
We estimate 3Q26 revenue at W10.8tn (+6.0% YoY) and OP at W962.0bn (-3.2% YoY). More important than a single quarter's results is that high-tech orders will increasingly translate into revenue and earnings toward 2027. With orders already secured, earnings growth visibility is high, warranting a focus on 2027 earnings growth.

Samsung C&T: earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**9,738**	**10,022**	**10,151**	**10,832**	**10,466**	**11,995**	**10,759**	**10,881**	**40,743**	**44,100**	**48,913**
% YoY	-9.8%	-8.9%	-1.5%	8.4%	7.5%	19.7%	6.0%	0.5%	-3.2%	8.2%	10.9%
Construction	3,620	3,395	3,090	4,044	3,413	3,988	4,242	4,265	14,149	15,908	18,570
Building	2,729	2,329	2,059	2,880	2,245	2,631	3,472	3,522	9,997	11,870	13,964
Civil engineering	194	159	197	222	108	127	81	75	772	392	317
Plant	697	907	834	942	1,060	1,230	688	668	3,380	3,646	4,290
Trading	3,436	3,776	3,885	3,540	4,114	4,703	3,356	3,239	14,637	15,413	16,229
Fashion	504	510	445	560	573	593	409	505	2,019	2,080	2,142
Leisure	108	223	205	186	105	206	212	199	722	722	722
F&B	771	828	866	799	825	886	875	844	3,264	3,431	3,606
Bio	1,299	1,290	1,660	1,703	1,436	1,619	1,664	1,829	5,952	6,547	7,643
Gross profit	**1,753**	**1,801**	**2,051**	**2,082**	**1,869**	**2,214**	**1,880**	**1,958**	**7,687**	**7,920**	**8,755**
% YoY	6.3%	-5.9%	19.9%	13.5%	6.6%	22.9%	-8.4%	-6.0%	8.2%	3.0%	10.5%
OP	**724**	**753**	**994**	**822**	**720**	**1,032**	**962**	**972**	**3,293**	**3,686**	**4,496**
% YoY	1.6%	-16.4%	35.1%	29.4%	-0.6%	37.1%	-3.2%	18.2%	10.4%	11.9%	22.0%
Construction	159	118	111	148	111	202	210	194	536	717	984
Trading	63	80	76	53	109	142	77	76	272	404	409
Fashion	34	33	12	45	38	54	20	41	124	153	156
Leisure	(31)	9	20	20	(35)	0	34	22	18	20	29
F&B	19	45	53	35	14	48	51	32	152	145	168
Bio	480	468	722	521	483	586	571	606	2,191	2,246	2,751
Pretax profit	**1,204**	**753**	**1,205**	**1,099**	**1,345**	**1,077**	**1,155**	**1,117**	**4,260**	**4,694**	**5,518**
% YoY	13.2%	-27.7%	56.1%	29.8%	11.7%	43.1%	-4.2%	1.6%	14.4%	10.2%	17.5%
Net profit, CI	**733**	**353**	**566**	**787**	**844**	**595**	**635**	**515**	**2,439**	**2,589**	**2,956**
% YoY	0.7%	-38.8%	26.4%	64.9%	15.2%	68.8%	12.0%	-34.6%	9.4%	6.2%	14.1%
OPM	**7.4%**	**7.5%**	**9.8%**	**7.6%**	**6.9%**	**8.6%**	**8.9%**	**8.9%**	**8.1%**	**8.4%**	**9.2%**
Construction	4.4%	3.5%	3.6%	3.7%	3.3%	5.1%	4.9%	4.5%	3.8%	4.5%	5.3%
Trading	1.8%	2.1%	2.0%	1.5%	2.6%	3.0%	2.3%	2.4%	1.9%	2.6%	2.5%
Fashion	6.7%	6.5%	2.7%	8.0%	6.6%	9.1%	4.9%	8.1%	6.1%	7.4%	7.3%
Leisure	-28.7%	4.0%	9.8%	10.8%	-33.3%	0.0%	15.9%	10.9%	2.5%	2.8%	4.0%
F&B	2.5%	5.4%	6.1%	4.4%	1.7%	5.4%	5.8%	3.8%	4.7%	4.2%	4.6%
Bio	37.0%	36.3%	43.5%	30.6%	33.6%	36.2%	34.3%	33.2%	36.8%	34.3%	36.0%
Pretax margin	**12.4%**	**7.5%**	**11.9%**	**10.1%**	**12.9%**	**9.0%**	**10.7%**	**10.3%**	**10.5%**	**10.6%**	**11.3%**
Net margin, CI	**7.5%**	**3.5%**	**5.6%**	**7.3%**	**8.1%**	**5.0%**	**5.9%**	**4.7%**	**6.0%**	**5.9%**	**6.0%**

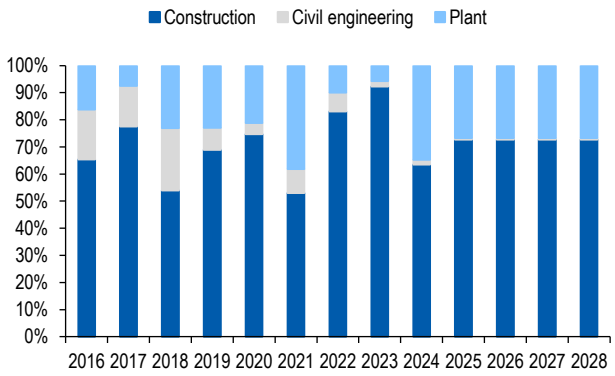
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Samsung C&T: Construction new orders by segment



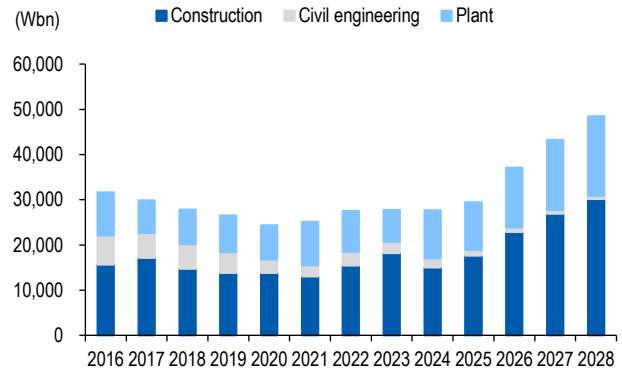
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Samsung C&T: Construction new order share by segment



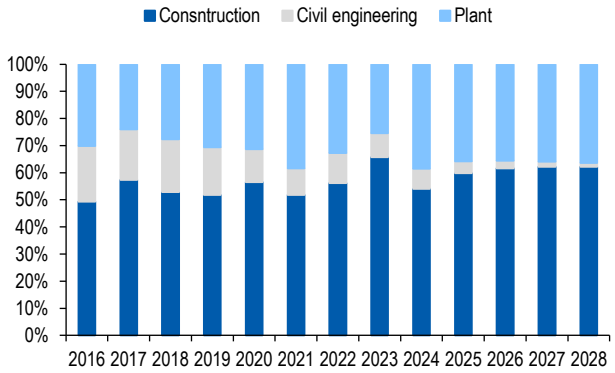
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Samsung C&T: construction order backlog by segment



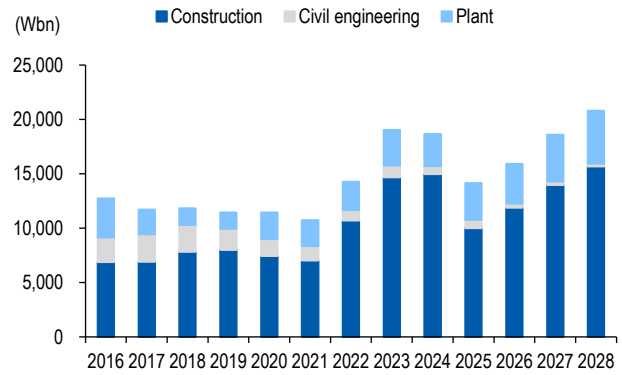
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction order backlog share by segment



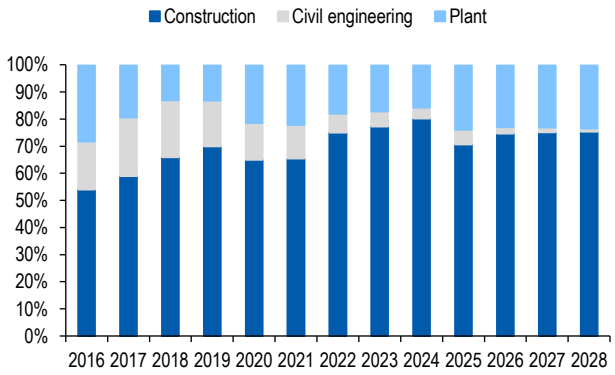
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction revenue by segment



Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction revenue share by segment



Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Ⅲ. Investment highlights

1. High-tech: orders converting into earnings

High-tech projects are the primary growth driver for the construction division. Of the W10.4tn in new construction orders secured in 1H26, high-tech projects accounted for W6.4tn, or 61%. The company had already achieved 94% of its full-year high-tech order guidance of W6.8tn in 1H26 and is considering raising its 2H26 new-order guidance.

Related projects will continue in 2H26. Finishing work is underway at Pyeongtaek P4, while follow-on work is scheduled at P5 Fab 1 after completion of the structural framework. P5 Fab 2 is also transitioning from initial work to full-scale construction, while follow-on orders for the Taylor fab in the US are expected within the year. As of 2Q26, major contract backlogs included W2.23tn for Pyeongtaek P5, W950.7bn for P4 Phase 4, W896.4bn for P4 Phase 2, and W734.4bn for Taylor FAB1 in the US.

High-tech projects typically take 18-24 months from order receipt to revenue recognition, allowing them to translate into earnings more quickly than conventional infrastructure projects. The W6.4tn in orders secured in 1H26 is expected to begin contributing meaningfully to earnings in 2027. We estimate construction revenue will increase 16.7% YoY from W15.91tn in 2026 to W18.57tn in 2027.

Profitability is also improving alongside top-line growth. Construction revenue reached W4.0tn (+17.5% YoY) in 2Q26, including W2.6tn (+13.0% YoY) from building. The construction division's OP margin rose to 5.1% in 2Q26, while its full-year OP margin is forecast to improve from 3.8% in 2025 to 4.5% in 2026 and 5.3% in 2027.

High-tech order backlog

Project	Contract date	Expected completion	Initial contract value (Wbn)	Contract backlog (Wbn)
Pyeongtaek P5	Dec 6, 2022	Jul 31, 2027	3,042	2,232
Pyeongtaek P4 Phase 4	Jul 18, 2025	Jul 31, 2027	2,204	951
Pyeongtaek P4 Phase 2	Jul 15, 2023	Dec 31, 2027	1,158	896
Taylor FAB1, US	Feb 18, 2022	Dec 31, 2026	12,868	734
Vietnam DS V-PJT	Jan 31, 2026	Jun 30, 2027	476	457
NRD-K2	Feb 26, 2026	Dec 31, 2028	330	317
Pyeongtaek FAB Retrofit	Jan 1, 2026	Dec 31, 2027	321	304
P5 FAB2 construction	May 15, 2026	Nov 30, 2028	300	296

Securities

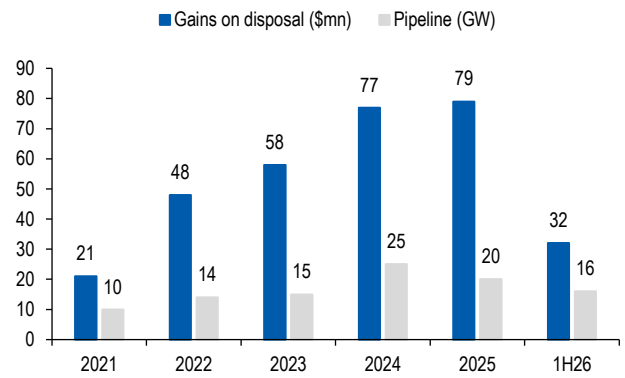
2. Nuclear and energy: expanding the foundation for mid- to long-term orders

Nuclear and renewable energy projects provide the next platform for mid- to long-term order growth following high-tech projects. The nearest catalyst is the selection of a construction contractor for Romania's large-scale nuclear power project. Fluor of the US has been selected as the main EPCM contractor for Romania's Units 3 and 4, with detailed engineering scheduled for completion by end-2026. The construction contractor is expected to be selected in 4Q26, and Samsung C&T's participation will serve as the first indicator of its potential to expand large-scale nuclear power orders.

Among its SMR projects, the Doicești project in Romania is the most advanced. Samsung C&T is developing the project with NuScale, with the main EPC contract expected in 2028. The company is also pursuing partnerships with Poland's OSGE, Sweden's Kärnfull Next, and Estonia's Fermi Energia based on GE Vernova Hitachi's BWRX-300 reactor design. In Poland, a local standard design development agreement was signed in February 2026, and licensing and design localization are underway. Construction is targeted to begin in 2030 in Poland, 2031 in Sweden, and 2032 in Estonia.

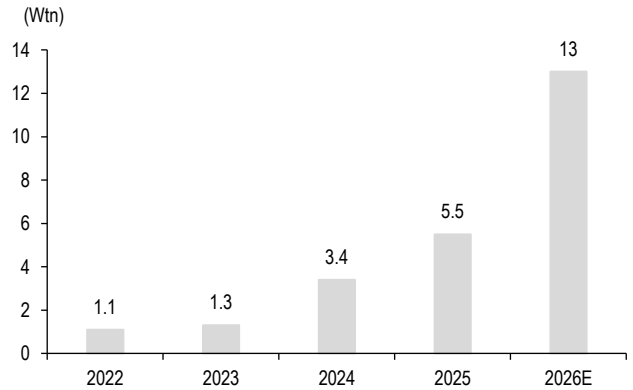
Renewable energy is making a growing contribution to earnings through project development, disposals, and EPC contracts. Gains from solar project development and disposals increased approximately 3.8-fold from US$21mn in 2021 to US$79mn in 2025. As of 2Q26, the contract backlog stood at W447.3bn for Guam's Yona Solar PV+BESS project, W478.3bn for Australia's Marinus Link HVDC project, W236.3bn for the Bellambi Heights BESS project, and W118.4bn for the Gnarwarre BESS project, for a combined W1.2803tn across the four projects.

Samsung C&T: solar power development track record



Note 1: Based on capacity held at year-end (cumulative development less cumulative disposals); Note 2: Includes the US, Australia, and ESS
Source: company data, Yuanta Securities

Samsung C&T: annual housing construction contract wins



Note 1: as of 2Q26; Note 2: the 2026 figure is the company's target
Source: company data, Yuanta Securities

Samsung C&T (028260 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**42,103**	**40,742**	**44,100**	**48,913**	**53,036**
Cost of sales	34,996	33,055	36,179	40,158	43,412
Gross profit	7,108	7,688	7,921	8,755	9,625
SG&A	4,124	4,395	4,235	4,258	4,592
Operating profit	**2,983**	**3,293**	**3,686**	**4,496**	**5,033**
EBITDA	3,916	4,351	4,887	5,807	6,448
Non-operating profit	739	968	1,008	1,022	1,176
Forex gains	111	-5	111	0	0
Net interest income	1	66	103	184	329
Equity-method gains	56	78	100	116	117
Other	571	829	694	722	730
Net prof before income tax	3,722	4,260	4,694	5,518	6,208
Income tax	950	354	966	1,324	1,490
Net profit from continuing ops	2,772	3,907	3,728	4,194	4,718
Net profit from discontinued ops	0	0	0	0	0
Net profit	2,772	3,907	3,728	4,194	4,718
NP for controlling interest	**2,230**	**2,439**	**2,589**	**2,956**	**3,235**
Total comprehensive income	-2,231	20,756	58,385	4,208	4,721
Total comprehensive income, CI	-2,764	19,293	57,804	4,177	4,686

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**20,181**	**21,356**	**23,899**	**28,553**	**35,979**
Cash & cash equivalents	3,622	3,458	5,781	8,348	14,271
Accounts receivables & other	8,326	8,528	8,566	9,565	10,189
Inventory	5,126	5,642	5,667	6,328	6,861
Non-current assets	41,809	65,176	139,929	140,632	141,367
Tangible assets	8,650	9,674	10,400	10,986	11,628
Investment in affiliates	938	970	975	1,088	1,180
Other investment assets	22,479	45,573	119,588	119,590	119,593
Total assets	**61,990**	**86,533**	**163,828**	**169,185**	**177,347**
Current liabilities	14,747	13,872	14,403	15,821	16,967
Accounts payable & other	6,821	6,656	6,686	7,465	8,094
ST financial liabilities	822	981	1,269	1,269	1,269
Liquid LT liabilities	1,276	771	960	960	960
Non-current liabilities	9,985	15,164	34,000	34,188	36,941
LT financial liabilities	126	643	47	47	47
Debentures	1,616	969	769	769	769
Total liabilities	**24,732**	**29,036**	**48,403**	**50,009**	**53,908**
Equity, controlling interest	31,069	49,912	106,693	109,205	111,985
Paid-in capital	19	19	19	19	19
Capital surplus	10,695	10,651	10,651	10,651	10,651
Retained earnings	14,014	15,510	16,995	19,492	22,269
Equity, non-controlling interest	6,190	7,585	8,732	9,970	11,454
Total equity	**37,259**	**57,497**	**115,426**	**119,176**	**123,439**
Net debt	**-558**	**-1,514**	**-4,063**	**-6,844**	**-12,939**
Total debt	4,693	4,120	4,044	4,077	4,103

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,307**	**3,024**	**12,097**	**13,889**	**14,716**
Net profit	2,772	3,907	3,728	4,194	4,718
Depreciation & amortization	933	1,058	1,201	1,310	1,415
Forex gains	-178	-9	-71	0	0
Affiliate investment gains	-56	-78	-100	-116	-117
Increase in net working cap	-727	-1,335	6,371	6,520	6,719
Other	563	-520	968	1,980	1,980
Investing cash flow	**-1,759**	**-1,840**	**-2,025**	**-2,260**	**-2,350**
Investment	-76	145	51	-116	-94
Increase in tangible assets	-1,628	-1,736	-1,188	-1,897	-2,057
Decrease in tangible assets	42	108	27	0	0
Other	-98	-356	-915	-246	-199
Financing cash flow	**-1,298**	**-1,277**	**-821**	**-425**	**-432**
ST financial liabilities	-551	97	289	33	27
Debenture/LT financial liabilities	-62	-670	-365	0	0
Equity	0	-44	0	0	0
Cash dividend	-419	-426	-458	-458	-458
Other cash flow	-265	-234	-287	0	0
Consolidation adj and other	254	-71	-6,928	-8,638	-6,012
Increase in cash & equivalents	**503**	**-164**	**2,323**	**2,567**	**5,923**
Beginning cash & equivalents	3,120	3,622	3,458	5,781	8,348
Ending cash & equivalents	3,622	3,458	5,781	8,348	14,271
NOPLAT	2,983	3,293	**3,686**	**4,496**	**5,033**
FCF	**1,679**	**1,287**	**10,909**	**11,993**	**12,660**

Valuation

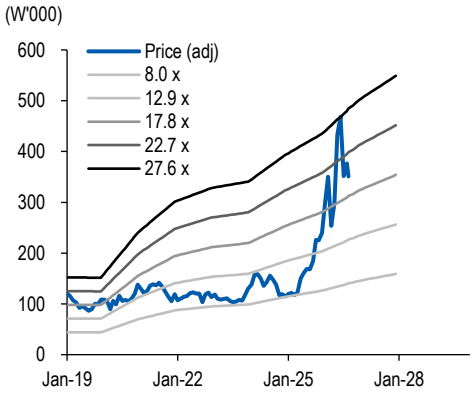
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	12,361	14,262	15,791	18,200	19,923
BPS (won)	189,865	305,019	652,019	667,371	684,358
EBITDA/shr (won)	21,564	25,269	29,586	35,486	39,402
SPS (won)	231,815	236,608	266,990	298,913	324,114
DPS (won)	2,600	2,800	2,800	2,800	2,800
P/E (x)	**11.3**	**11.6**	**22.2**	**19.3**	**17.6**
P/B (x)	**0.7**	**0.5**	**0.5**	**0.5**	**0.5**
EV/EBITDA (x)	**7.9**	**7.9**	**12.7**	**10.4**	**8.7**
P/S (x)	**0.6**	**0.7**	**1.3**	**1.2**	**1.1**

Key financial data

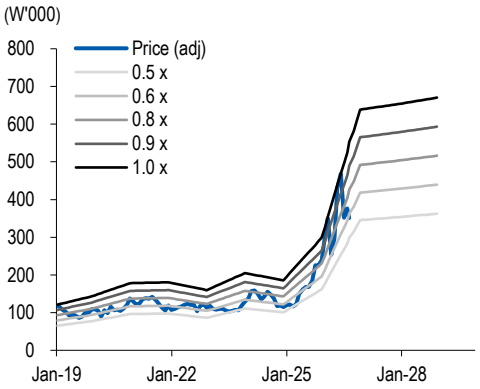
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.5**	**-3.2**	**8.2**	**10.9**	**8.4**
Operating profit (%YoY)	**3.9**	**10.4**	**11.9**	**22.0**	**11.9**
Net profit, CI (%YoY)	**0.5**	**9.4**	**6.2**	**14.1**	**9.5**
Gross margin (%)	16.9	18.9	18.0	17.9	18.1
Operating margin (%)	**7.1**	**8.1**	**8.4**	**9.2**	**9.5**
Net margin, CI (%)	5.3	6.0	5.9	6.0	6.1
EBITDA margin (%)	9.3	10.7	11.1	11.9	12.2
ROIC (%)	13.5	16.3	112.1	16.5	29.7
ROA (%)	3.5	3.3	2.1	1.8	1.9
ROE (%)	**6.8**	**6.0**	**3.3**	**2.7**	**2.9**
Debt-to-equity (%)	66.4	50.5	41.9	42.0	43.7
Net debt-to-equity (%)	-1.8	-3.0	-3.8	-6.3	-11.6
OP/financing cost (x)	13.3	23.9	27.2	35.5	39.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

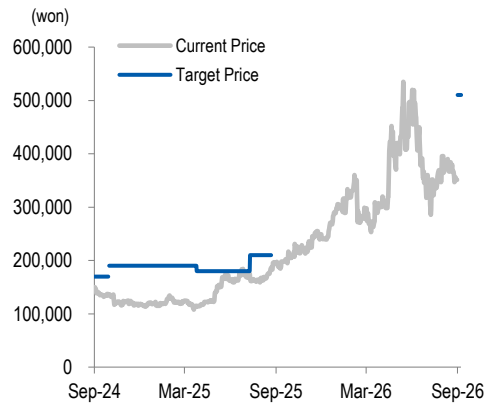
P/E band chart



P/B band chart



Samsung C&T (028260 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/21	BUY	510,000	1 yr		
	Analyst changed				
2025/07/31	BUY	210,000	1 yr	-20.81	-13.14
2025/04/15	BUY	180,000	1 yr	-16.11	2.44
2024/10/21	BUY	190,000	1 yr	-36.17	-28.32
	Analyst changed				
2023/11/27	BUY	170,000	1 yr	-16.08	0.47

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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